Explaining the 21st-century US tire industry decline via the price divergence between domestic and foreign tires

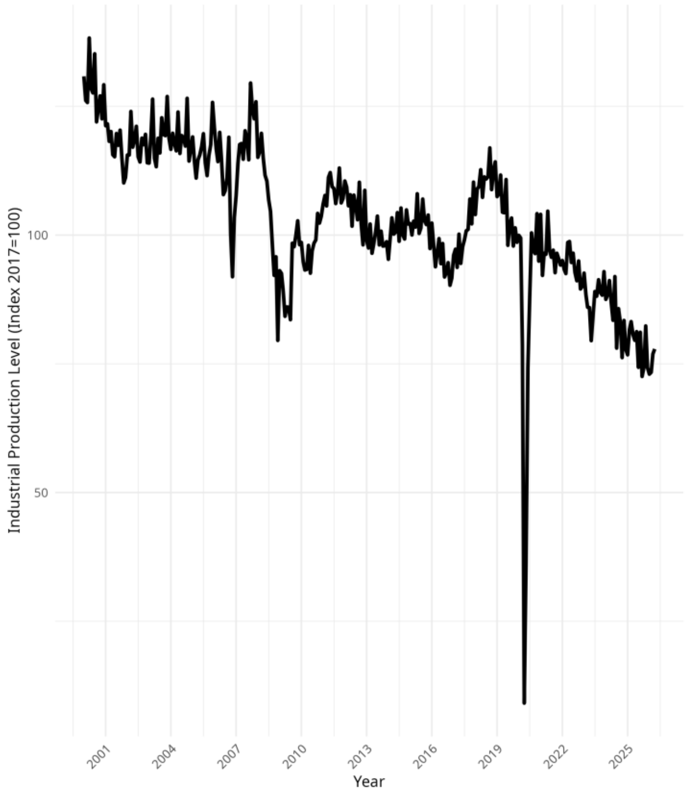
Michal Stránský, Lukáš Doležal, Jakub Černý

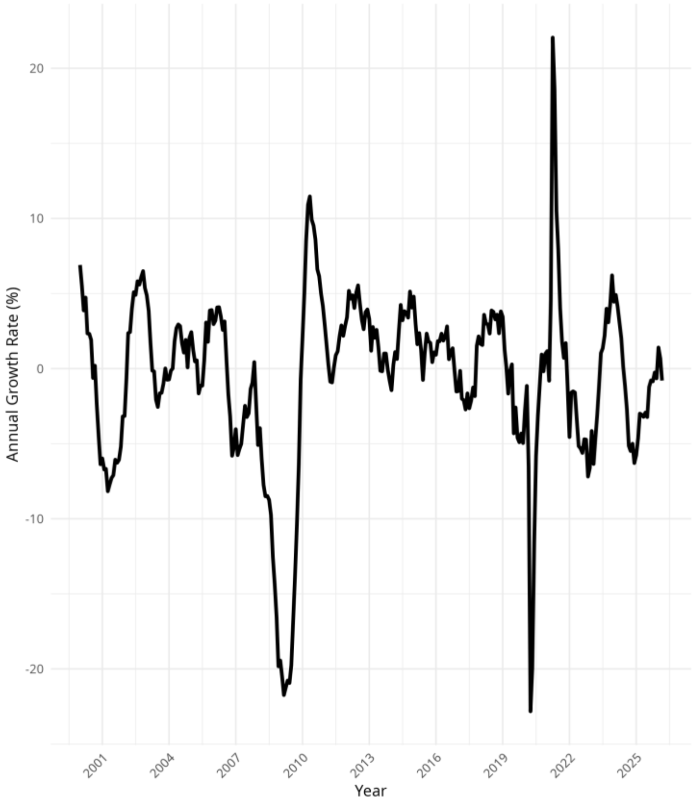
question & data

- Is domestic production suffering from increased imports?
- Why the ratio of imported tires increased
- empirical claims: domestic tires increased in price, and demand for imported tires increased
- Sources of data: census.gov, FED 17G, BLS

descriptive stats

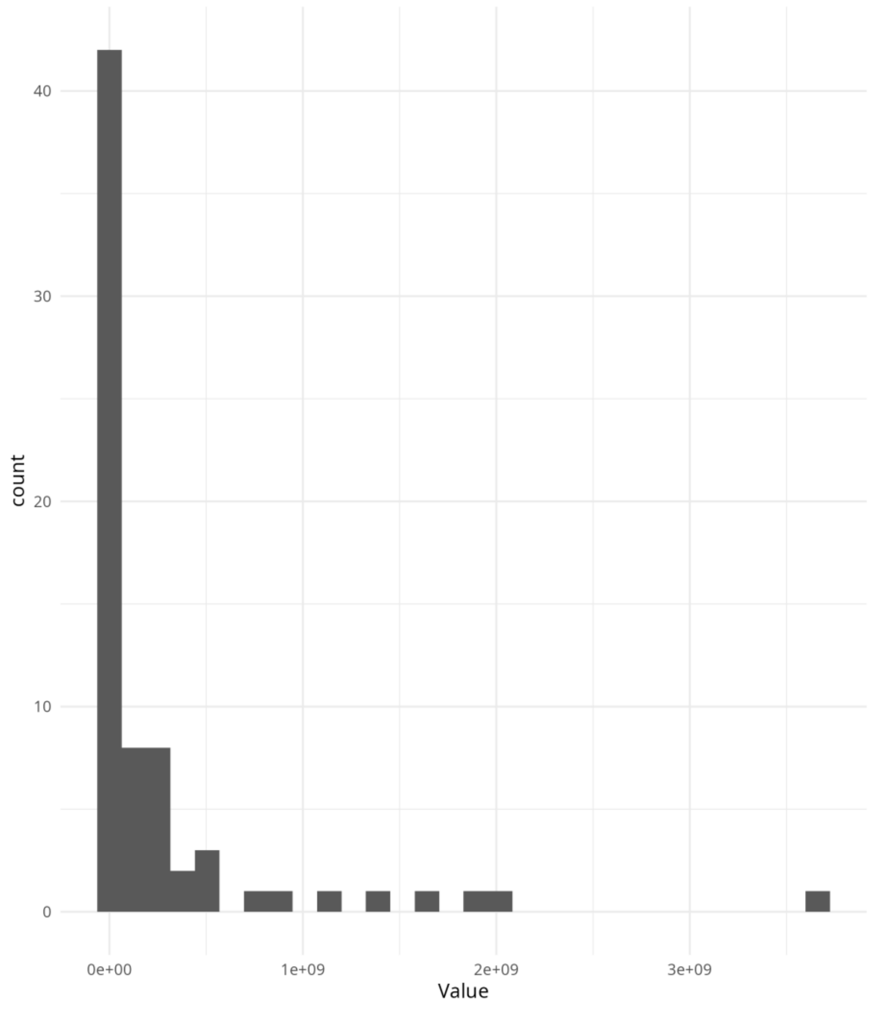
- Domestic production was stagnant at early 2000s
- Sharp declines during covid and 2008-2010, with quick recovery
- Slow decline after start of Russia-Ukraine war



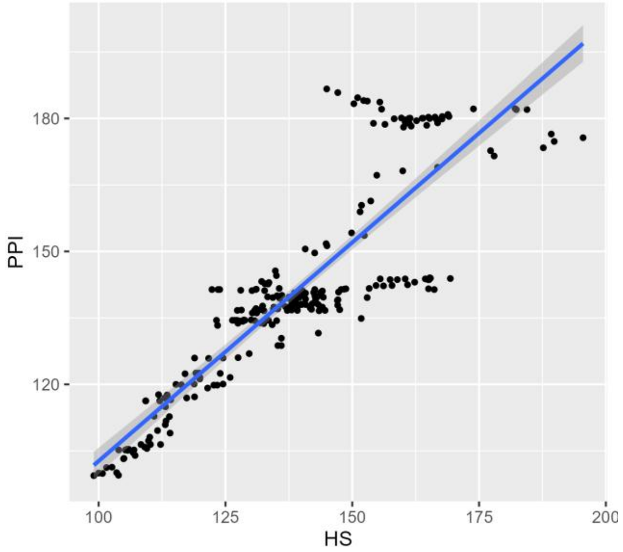


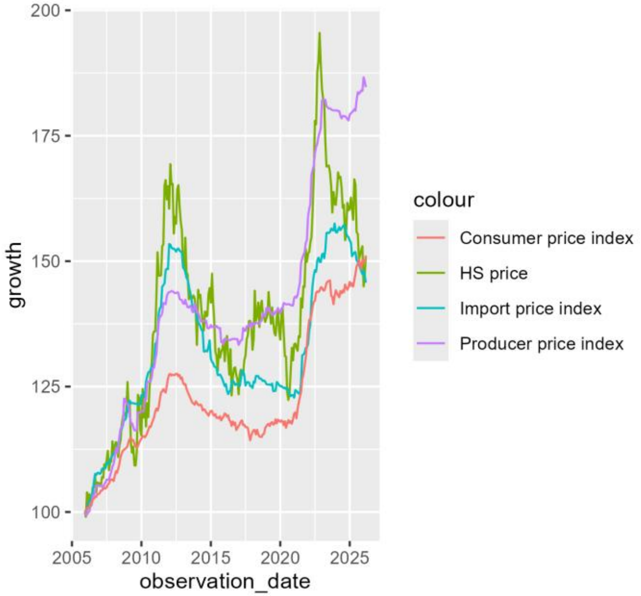
imports

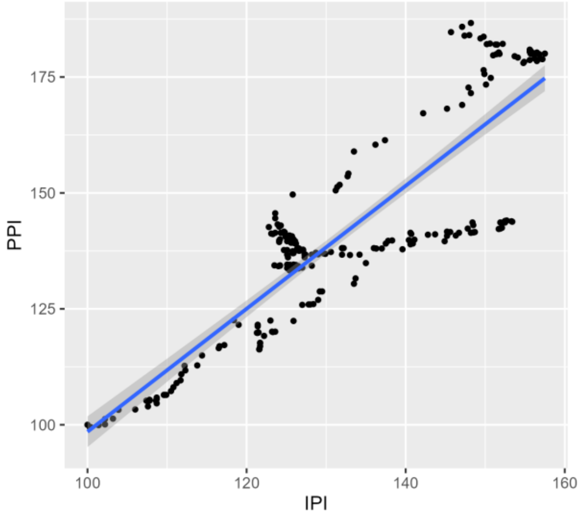
- Most of the import comes from a few countries
- Greatest importer of tires was Thailand
- Import from Russia were small, due to war on Ukraine.
- Most countries imported between 1 and 10 million tires



comparison







- All measured indexes increased similarly in measured period
  - Greatest growth was during covid 19 pandemic
    - The greatest increase was of PPI index

- We cannot prove our claim because domestic tires haven't grown dramatically in price than foreign made tires
- There is no correlation between the PPI/HS ratio and domestic share of tires produced
- limitations: not accounting for tariffs, differences between HS and NAICS, quality of tires to measured